January 28, 2026

Consumer: Auto & Auto Technology

U.S. Equity Research

Tesla, Inc. (TSLA)

Outperform | $431.46 | PT $540.00

Price Target Change

Discontinuing Model S/X, Ramping CAPEX for AI, Building a Terafab? - Adj Estimates, PT

TSLA reported 4Q25E Rev/EPS of $25B/$0.50 (in line with consensus $25.1B/$0.45). **Main takeaways: 1)** Slow EV Demand in 2026E (we estimate EV sales up ~5% y/y) as TSLA Focuses on Gradually Pivoting to AI, Software (investing $2B in xAI +ve NVDA, DELL), and Robotaxi, **2)** Auto GM ex-credits at 17.9% (up 250bps q/q), better with mix +pricing, **2)** TSLA reiterated cybercab SOP in 1H26E, as FSD v14 revs grew q/q, **3)** Optimus v3 C26E-end a slight push-back (prior 1Q26E), and **4) AI investment** - F26E Capex guided $20B (vs. F25 ~$9B) Doubling GPU capacity in 1H26E, expanding six factories, and AI5 prod. in 2027E. **Maintain Outperform, Adjust Ests and PT to $540 (prior $530)** as we see TSLA well-positioned leading physical AI with Cybercab/FSD traction, humanoid longer term, offset by near-term demand headwinds.

Key Points

Slowing EV in 2026E as TSLA Focusing AI, Software, Robotaxi, and $2B Investment into xAI. TSLA reported in line 4Q25 Rev/EPS of $24.9B/$0.50 (Cons. $25.1B/$0.45), with 4Q25 at ~418K deliveries, down 16% q/q with IRA credits expiry. Auto GMs ex-credits improved to ~17.9%, up 250bps, with mix and pricing, with $542M in ZEV credits. We see F26E challenges with **S/X prod. sunset and EV subsidy ending** and estimate MarQ deliveries down 6% q/q (cons down 5%), and global 2026E EV sales up ~5% y/y (cons. up ~20%). TSLA noted it is focusing on transitioning to physical AI to drive profitability and growth, highlighting accelerating: **1)** FSD development, **2)** robotaxi/cybercab ramps, **3)** optimus ramps, and **4)** $2B investment in xAI for AI SW collaboration.

In-House HW Development with AI5 in 2027 and AI6 in 2028 as FSD v14 and Robotaxi Ramp. We believe v14 FSD seeing traction at ~99% no critical disengagements as TSLA noted FSD subscription rev growing. TSLA noted AI5 for HW5 drives 50x improvement vs AI4 with SOP ~2027E and AI6 in 2028E. We believe TSLA **updated its Robotaxi plans** for TX, AZ, FL, NV in 1H26E (prior C25-end, excl IL, NY, and is pursuing reg approval in China/EU), launched in S.Korea, while driverless Robotaxis ramping in Austin. TSLA noted **OptimusV3** SOP before C26E-end (prior: C1Q26E) while reiterating LT target of ~1M units.

AI GPU Capacity Growing 2X by Jun'26, $20B Capex, as Cybercab Production ~1H26E and "Terafab" potentially L-T. TSLA noted cumulative Robotaxi miles at 650K(Dec'25), up ~5-6x q/q growing but still small vs Waymo's estimated ~4.2M/mo and we believe TSLA targets Cybercab production beginning 1H26E (~2Q26E). TSLA is targeting ~275K H100e GPU by Jun'26 (from ~120K today). TSLA noted $20B in Capex (up >2x y/y from $9B F25) with We estimate EV LVP 2026E up 5% y/y, 2027E up 12%, and with potential challenges in N.Am and EU with lower subsidies, though China likely remains strong. We estimate TSLA 2026E deliveries at ~1.7M, up 3% y/y, (below cons ~1.8M). CEO Musk noted chip supply chain constraints with L-T potential to build a "Terafab" internal foundry.

Valuation

We rate TSLA Outperform with $540 PT ~15x F27E P/S, with TSLA expected to remain the US EV leader, with key valuation drivers in autonomous technology with Cybercab/FSD/humanoid robots, as we see regulatory tailwinds favorable despite near-term challenges from EU tariffs/US tax credit repeals, but less of a headwind for TSLA relative to peers.

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Overview

Rating	Outperform (No Change)
Price	$431.46
Price Target	$540.00 ($530.00)

Key Data

Symbol	TSLA (NSQ)
52-Week Range	$498.83 - $214.25
Market Cap ($mm)	$1,434,958
Shares Outstanding (mm)	3,325.8
Average Daily Volume	75,076,904
Dividend/Yield	$0.00/0.0%

Source: Bloomberg

Fiscal Year-End: Dec 31

Revenue ($mm)	2025E	2026E Prior	2026E Curr	2027E Prior	2027E Curr
Q1	19,335A	24,186E	23,412E	28,847E	29,070E
Q2	22,496A	25,749E	23,463E	31,064E	31,609E
Q3	28,095A	27,490E	27,455E	32,811E	33,541E
Q4	24,901A	28,522E	29,059E	34,171E	34,528E
FY	94,827E	105,946E	103,389E	126,893E	128,749E
P/Revenue	15.1x		13.9x		11.1x

Source: Bloomberg

Earnings per Share ($)	2025E		2026E		2027E
FY	1.66E	2.21E	1.91E	–	3.16E

Source: Company Data, Mizuho Securities USA Research estimates

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The Mizuho View

Investment Thesis

We continue to see TSLA as a leader in the global EV market with improving battery technology, strong ADAS/AD roadmap, and future ramps with low-cost EV, Cybercab, and humanoid robots. AI technology transformation has accelerated, and we believe TSLA is better positioned than most peers to crack the code to true AD. We see TSLA's immense potential to add valuation from Autonomous technologies in FSD, robotaxi, and humanoid robots over the next ~10Y driving ~$1.5-2T in market cap. Despite elevated EV demand headwinds near-term with the Trump administration as well as rising competition globally, we see TSLA best positioned competitively with vertically integrated manufacturing and improving AI software roadmap.

Base Case/PT

We expect TSLA's leadership across EVs, solar/battery storage, and charging infrastructure should allow the company to better "weather the storm" than less-established peers as the Trump administration removes subsidies for key end-markets. We also see less stringent regulation on autonomous vehicles ("AVs") as a key tailwind to TSLA's ability to scale FSD/Robo-Taxi deployments, with our base case scenario implying significant long-term revenue from AV operations. Lastly, we give TSLA credit for developing and subsequently commercializing humanoid robots over the next 10-15 years. We rate TSLA Outperform, with a PT of $540, implying a ~15x F27E P/S.

Bull Case/PT

Our Bull case scenario bakes in significant growth acceleration into 2030E, whereby TSLA is able to accelerate its autonomous FSD, robotaxi, and humanoid robot ramps with breakthroughs in AI/ML development and favorable regulation, sentiment could improve and TSLA could see stronger top-line growth. Net-net, our bull case analysis implies a PT of $700/share, ~16x our F27E P/S.

Bear Case/PT

Our Bear case PT for TSLA reflects the risk of the company delaying its AV and Humanoid Robot operations, given either a less favorable than expected regulatory environment and/or slower technology progress, pushing out FSD/robotaxi ramps to 2035-2040 and humanoid robots to 2040E+ Implying a bear case PT of $420/share for TSLA and ~13x our downside F27E P/S.

Risks

1) FSD approval L4/L5 delayed impact FSD and robotaxi revenue,

2) legal and reputation risk in the event one of its FSD-enabled vehicles causes an accident,

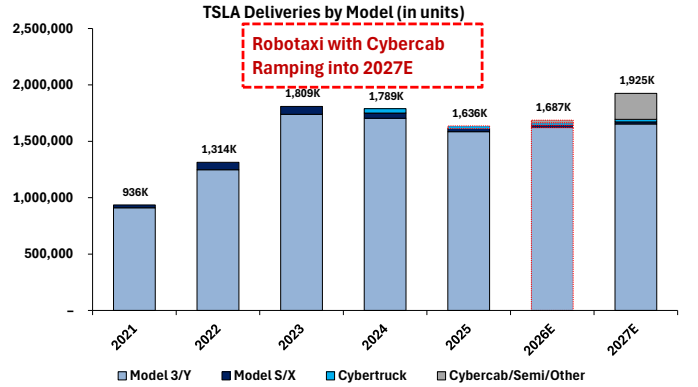
3) slower consumer adoption of AVs impacting FSD penetration and licensing volumes. We believe Tesla remains sensitive to EV demand growth slowdown, pressuring prices and margins, while a stale model portfolio could drive headwinds, and

4) we also see increasing competition from low-cost models in China, which are moving into Europe, creating potential headwinds, as well as China-made EV tariffs, as TSLA ships Model 3s made in China to Europe.

Catalysts in 2026/27E as FSD v14, Robotaxi, AI5/AI6 and Optimus Ramp

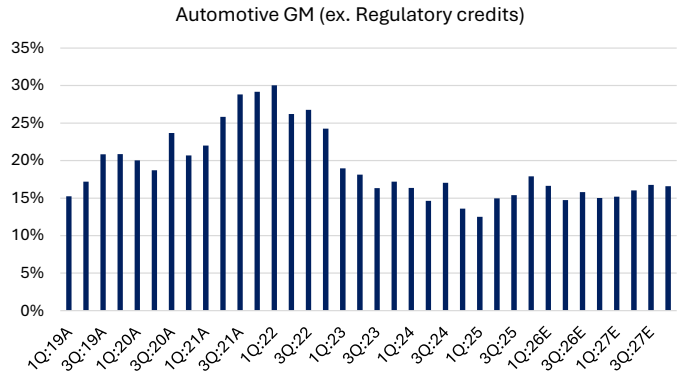
We believe TSLA is focusing on key L-T growth pillars with : **1)** FSD v14 traction strong with subscriptions growing q/q and our estimates of ~99% rides no critical disengagements, **2)** AI5/HW5 for SOP 2027E, TSLA noting ~50x better performance for AI5 vs AI4 from improved hardware/software stack with AI6 in 2028E, **3)** we believe Cybercab remains on-track with TSLA expecting volume production in 1H26E (prior 2Q'26E) as it aims to reduce cost to $0.25/mile, **4)** Canceling S/X for Optimus production C26e-end (prior ~1Q26E) at Freemont factory. **TSLA 4Q25 deliveries** were 418K units (down 16% y/y) mainly from lower N.Am volumes as a result of SepQ pull-ins and we estimate 1Q26E deliveries could be down ~6% q/q (cons down ~3% q/q). We estimate 2026E deliveries at 1.69M (prior 1.75M) and 2027E at 1.92M (prior 2.00M), up 6%/up 11% y/y, as we see Cybercab production ramping offsetting slowing EV sales. We estimate 2026E auto GM ex-credits of ~15.8%, up 50 bps y/y (vs prior 15.1%) as e TSLA noted FSD at ~1.1M users, ~70% are fully paid, moving forward will be subscription only and will positively impact Auto GMs.

Exhibit 1 - TSLA Growth Strong In 2027E After Softer 2026E with Robotaxi Ramps



Source: company reports, MSUSA Estimates

Exhibit 2 - TSLA Auto GMs Projected To Steadily Grow After Challenging 1H26E, with Cybercab and Tesla Semi



Source: company reports, MSUSA Estimates

Reiterate Outperform, Adjusting estimates and PT to $540 from $530

Adjusting our TSLA rev/EPS estimates as we take:

- MarQ from $24.2B/$0.47 to $23.4B/$0.46 (cons. $23.4B/$0.44) with deliveries from 411k to 393k (cons. 406k),
- F26E from $105.9B/$2.21 to $103.4B/$2.13 (cons. $106.7B/$2.17) with deliveries from 1.75M to 1.69M (cons. 1.76M),
- F27E from $126.9B/$3.16 to $128.7B/$3.16 (cons. $125.5B/$2.90) with deliveries from 2.00M to 1.92M (cons. 2.03M),

Reiterate Outperform and Raise our PT to $540 (prior $530), ~15x our F27E P/Sales (prior: ~15x) as we see TSLA unlocking value with clearer line of sight toward broader commercialization and ramp of AV with FSD v14, Cybercab, and humanoid robots with Optimus. We see TSLA remaining the EV leader in the US near-term but facing demand headwinds with IRA credits ending.

Exhibit 3 - TSLA Estimates Overview

	1Q26E	F26E	F27E	1Q26E	F26E	F27E	1Q26E	F26E	F27E
	New Estimates			Prior Estimates			Consensus Estimates		
Revenue ($M)	**23,412**	**103,389**	**128,749**	**24,186**	**105,946**	**126,893**	**23,375**	**106,658**	**125,504**
GM (%)	*19.4%*	*18.7%*	*19.6%*	*17.5%*	*17.8%*	*19.0%*	*17.5%*	*17.8%*	*18.9%*
EPS ($)	**$0.43**	**$1.91**	**$3.16**	**$0.47**	**$2.21**	**$3.16**	**$0.44**	**$2.17**	**$2.90**
vs Old (%)	*-8.8%*	*-13.6%*	*0.0%*						
vs Cons (%)	*-3.5%*	*-12.3%*	*9.2%*						
Price Target P/S		18.5x	14.8x		17.6x	14.7x		13.6x	11.5x
Price Target ($)	**$ 540.00**			**$ 530.00**			**$ 409.17**		
vs Old (%)									
vs Cons (%)									

Source: Bloomberg, MSUSA estimates

Exhibit 4 - Comparable Valuation as of January 28, 2026

Company	Ticker	Rating	Price Target (US$)	Price (US$)	Market Cap (US$M)	C27E Sales (US$M)	C27E EV/EBITDA	C27E EV/Sales	C27E P/Sales	C27E EV/FCF	C27E P/E
NVIDIA Corp	NVDA	Outperform	275	$191.5	$4,653,936	$412,526	15.9x	11.2x	11.3x	21.1x	19.9x
Rivian Automotive Inc	RIVN US	Underperform	10	$15.2	$18,574	$11,212	N/A	1.6x	1.7x	N/A	N/A
Lucid Group Inc	LCID	-		$10.9	$3,537	$4,534	N/A	1.2x	0.8x	N/A	N/A
NIO Inc	NIO US	-	-	$4.6	$10,716	$21,398	19.7x	0.6x	0.5x	431.4x	N/A
General Motors Co	GM US	Outperform	105	$84.9	$76,747	$188,128	3.3x	0.4x	0.4x	7.8x	6.5x
BYD Co Ltd	1211 HK	-		$13.2	$48,540	$158,259	5.6x	0.7x	0.3x	13.5x	14.6x
Volkswagen AG	VOW GR	-		$123.0	$36,303	$406,543	2.1x	0.3x	0.1x	11.6x	3.8x
Peer Average							**9.3x**	**2.3x**	**2.1x**	**97.1x**	**11.2x**
Peer Median							**5.6x**	**0.7x**	**0.5x**	**13.5x**	**10.6x**
Tesla Inc	**TSLA US**	**Outperform**	**540**	**$431.5**	**$1,434,958**	**$125,504**	**73.1x**	**11.2x**	**11.4x**	**258.8x**	**148.9x**

Source: Company reports, BBG, MSUSA Estimates

Financials

Exhibit 5 - TSLA Income Statement

(TSLA) In $M, Except Share Data FY Ends Dec 1/28/2026	2023	1Q:24 Mar	2Q:24 Jun	3Q:24 Sep	4Q:24 Dec	2024	1Q:25 Mar	2Q:25 Jun	3Q:25 Sep	4Q:25 Dec	2025	1Q:26E Mar	2Q:26E Jun	3Q:26E Sep	4Q:26E Dec	2026E	2027E
Street Revenue Consensus	96,773	21,301	25,500	25,182	25,707	97,690	19,335	22,496	28,095	24,901	94,827	23,375	25,268	28,011	29,554	106,658	125,504
Total Revenue	**96,773**	**21,301**	**25,500**	**25,182**	**25,707**	**97,690**	**19,335**	**22,496**	**28,095**	**24,901**	**94,827**	**23,412**	**23,463**	**27,455**	**29,059**	**103,389**	**128,749**
Cost of sales	79,113	17,605	20,922	20,185	21,528	80,240	16,182	18,618	23,041	19,892	77,733	18,861	19,161	22,293	23,715	84,030	103,510
Gross Profit	17,660	**3,696**	**4,578**	**4,997**	**4,179**	17,450	**3,153**	**3,878**	**5,054**	**5,009**	17,094	**4,551**	**4,302**	**5,162**	**5,344**	19,359	25,239
R&D	3,969	1,151	1,074	1,039	1,276	4,540	1,409	1,589	1,630	1,783	6,411	1,522	1,478	1,620	1,744	6,363	6,618
SG&A	4,800	1,374	1,277	1,186	1,313	5,150	1,251	1,366	1,562	1,655	5,834	1,334	1,267	1,400	1,511	5,513	5,879
Restructuring and other	0	0	622	55	7	684	94	0	238	162	494	0	0	0	0	0	0
Operating Expense	8,769	2,525	2,973	2,280	2,596	10,374	2,754	2,955	3,430	3,600	12,739	2,856	2,745	3,020	3,255	11,876	12,497
Operating Income	**8,891**	**1,171**	**1,605**	**2,717**	**1,583**	**7,076**	**399**	**923**	**1,624**	**1,409**	**4,355**	**1,695**	**1,557**	**2,142**	**2,089**	**7,483**	**12,742**
Interest income	1,066	350	348	429	442	1,569	400	392	439	449	1,680	449	449	449	449	1,796	1,796
Interest expense	(156)	(76)	(86)	(92)	(96)	(350)	(91)	(86)	(76)	(85)	(338)	(85)	(85)	(85)	(85)	(340)	(340)
Other income (expense), net	172	443	(80)	(263)	595	695	(119)	320	(28)	(592)	(419)	(592)	(592)	(592)	(592)	(2,368)	(2,368)
Pretax Income	**9,973**	**1,888**	**1,787**	**2,791**	**2,524**	**8,990**	**589**	**1,549**	**1,959**	**1,181**	**5,278**	**1,467**	**1,329**	**1,914**	**1,861**	**6,571**	**11,830**
Taxes	(5,001)	483	371	602	381	1,837	169	359	570	325	1,423	337	306	440	428	1,511	2,721
Net income attributable to NCI	(23)	15	16	16	15	62	11	18	16	16	61	25	25	25	25	100	100
Net income for GAAP EPS	**14,997**	**1,432**	**1,400**	**2,173**	**2,125**	**7,130**	**409**	**1,172**	**1,373**	**840**	**3,794**	**1,104**	**998**	**1,449**	**1,408**	**4,960**	**9,009**
Non-GAAP Net Income (ex. SBC)	**10,884**	**1,578**	**1,812**	**2,505**	**2,104**	**7,999**	**934**	**1,393**	**1,770**	**1,761**	**5,858**	**1,506**	**1,403**	**1,922**	**1,915**	**6,746**	**11,197**
Adj. EBITDA (Non-GAAP)	**16,631**	**3,719**	**3,574**	**4,665**	**4,333**	**16,645**	**2,814**	**3,401**	**4,227**	**4,154**	**14,528**	**3,605**	**3,740**	**4,869**	**4,578**	**16,791**	**23,743**
Non-GAAP Diluted Shares (000)	3,483	3,484	3,481	3,497	3,517	3,495	3,521	3,519	3,526	3,539	3,526	3,539	3,539	3,539	3,539	3,539	3,539
GAAP EPS (Diluted)	**$4.31**	**$0.41**	**$0.40**	**$0.62**	**$0.60**	**$2.04**	**$0.12**	**$0.33**	**$0.39**	**$0.24**	**$1.08**	**$0.31**	**$0.28**	**$0.41**	**$0.40**	**$1.41**	**$2.56**
Non-GAAP EPS (Diluted)	**$3.13**	**$0.45**	**$0.52**	**$0.72**	**$0.60**	**$2.29**	**$0.27**	**$0.40**	**$0.50**	**$0.50**	**$1.66**	**$0.43**	**$0.40**	**$0.54**	**$0.54**	**$1.91**	**$3.16**
Street EPS Consensus	**$3.12**	**$0.45**	**$0.52**	**$0.72**	**$0.73**	**$2.42**	**$0.27**	**$0.40**	**$0.50**	**$0.50**	**$1.66**	**$0.44**	**$0.50**	**$0.60**	**$0.55**	**$2.17**	**$2.90**
Street GM Consensus	18.2%	16.5%	17.4%	16.7%	18.9%	18.6%	16.1%	16.5%	17.2%	17.1%	17.4%	17.5%	17.8%	18.3%	17.1%	17.8%	18.9%
Margin Analysis																	
Gross Profit Margin	18.2%	17.4%	18.0%	19.8%	16.3%	17.9%	16.3%	17.2%	18.0%	20.1%	18.0%	19.4%	18.3%	18.8%	18.4%	18.7%	19.6%
R&D	4.1%	5.4%	4.2%	4.1%	5.0%	4.6%	7.3%	7.1%	5.8%	7.2%	6.8%	6.5%	6.3%	5.9%	6.0%	6.2%	5.1%
SG&A	5.0%	6.5%	5.0%	4.7%	5.1%	5.3%	6.5%	6.1%	5.6%	6.6%	6.2%	5.7%	5.4%	5.1%	5.2%	5.3%	4.6%
Operating Margin	9.2%	5.5%	6.3%	10.8%	6.2%	7.2%	2.1%	4.1%	5.8%	5.7%	4.6%	7.2%	6.6%	7.8%	7.2%	7.2%	9.9%
Pretax Margin	10.3%	8.9%	7.0%	11.1%	9.8%	9.2%	3.0%	6.9%	7.0%	4.7%	5.6%	6.3%	5.7%	7.0%	6.4%	6.4%	9.2%
Tax Rate	(50.1%)	25.6%	20.8%	21.6%	15.1%	20.4%	28.7%	23.2%	29.1%	27.5%	27.0%	23.0%	23.0%	23.0%	23.0%	23.0%	23.0%
Net Margin	15.5%	6.6%	5.6%	8.7%	8.3%	7.3%	2.2%	5.3%	4.9%	3.4%	4.1%	4.8%	4.4%	5.4%	4.9%	4.9%	7.1%
Yr/Yr Change																	
Total Revenue	19%	(9%)	2%	8%	2%	1%	(9%)	(12%)	12%	(3%)	(3%)	21%	4%	(2%)	17%	9%	25%
Cost of Sales	31%	(6%)	3%	5%	4%	1%	(8%)	(11%)	14%	(8%)	(3%)	17%	3%	(3%)	19%	8%	23%
SG&A	22%	28%	7%	(5%)	3%	7%	(9%)	7%	32%	26%	13%	7%	(7%)	(10%)	(9%)	(6%)	7%
R&D	29%	49%	14%	(11%)	17%	14%	22%	48%	57%	40%	41%	8%	(7%)	(1%)	(2%)	(1%)	4%
Operating Income	(35%)	(56%)	(33%)	54%	(23%)	(20%)	(66%)	(42%)	(40%)	(11%)	(38%)	325%	69%	32%	48%	72%	70%
Pretax Income	(27%)	(33%)	(39%)	36%	15%	(10%)	(69%)	(13%)	(30%)	(53%)	(41%)	149%	(14%)	(2%)	58%	24%	80%
Taxes	(542%)	85%	15%	260%	(107%)	(137%)	(65%)	(3%)	(5%)	(15%)	(23%)	100%	(15%)	(23%)	32%	6%	80%
Net Income	19%	(45%)	(46%)	17%	(73%)	(52%)	(70%)	(16%)	(37%)	(60%)	(46%)	169%	(14%)	6%	67%	31%	80%
Avg Shares (000)	0%	0%	0%	0%	1%	0%	1%	1%	1%	0%	1%	0%	0%	0%	0%	0%	0%
EPS Before Chgs	(23%)	(47%)	(42%)	8%	(16%)	(27%)	(41%)	(24%)	(30%)	(17%)	(27%)	60%	0%	8%	9%	15%	66%
Qtr/Qtr Change																	
Total Revenue		-15.4%	19.7%	-1.2%	2.1%		-24.8%	16.3%	24.9%	-11.4%		-6.0%	0.2%	17.0%	5.8%		
Cost of Sales		-15.1%	18.8%	-3.5%	6.7%		-24.8%	15.1%	23.8%	-13.7%		-5.2%	1.6%	16.3%	6.4%		
SG&A		7.3%	-7.1%	-7.1%	10.7%		-4.7%	9.2%	14.3%	6.0%		-19.4%	-5.1%	10.5%	7.9%		
R&D		5.2%	-6.7%	-3.3%	22.8%		10.4%	12.8%	2.6%	9.4%		-14.7%	-2.9%	9.6%	7.6%		
Operating Income		-43.3%	37.1%	69.3%	-41.7%		-74.8%	131.3%	75.9%	-13.2%		20.3%	-8.1%	37.6%	-2.4%		
Pretax Income		-13.8%	-5.3%	56.2%	-9.6%		-76.7%	163.0%	26.5%	-39.7%		24.2%	-9.4%	44.0%	-2.7%		
Taxes		NM	-23.2%	62.3%	-36.7%		-55.6%	112.4%	58.8%	-43.0%		3.8%	-9.4%	44.0%	-2.7%		
Net Income		-82.3%	0.8%	54.6%	-2.1%		-80.4%	183.3%	16.7%	-38.4%		31.9%	-9.4%	44.0%	-2.7%		
Avg Shares (000) - Diluted		-0.2%	-0.1%	0.5%	0.6%		0.1%	-0.1%	0.2%	0.0%		0.0%	0.0%	0.0%	0.0%		
Diluted EPS Before Chgs		-36.3%	14.9%	37.6%	-16.5%		-55.7%	49.2%	26.8%	-0.9%		-14.5%	-6.8%	37.0%	-0.4%		

Source: company reports, BBG, MSUSA estimates

Exhibit 6 - TSLA Balance Sheet

All Figures in $M FY Ends Dec	F4Q23 Dec	F1Q24 Mar	F2Q24 Jun	F3Q24 Sep	F4Q24 Dec	F1Q25 Mar	F2Q25 Jun	F3Q25 Sep	F4Q25 Dec	F1Q26E Mar	F2Q26E Jun	F3Q26E Sep	F4Q26E Dec	F4Q27E Dec
Assets														
Current Assets														
Cash and cash equivalents	16,398	11,805	14,635	18,111	16,139	15,937	16,320	19,169	17,201	15,607	12,708	11,145	9,152	14,653
Short-term marketable securities	12,696	15,058	16,085	15,537	*20,424*	20,644	20,047	22,063	22,063	22,063	22,063	22,063	22,063	22,063
Restricted cash	543	363	374	483	*494*	415	415	415	415	415	415	415	415	415
Accounts receivable	3,508	3,887	3,737	3,313	4,418	3,782	3,838	4,703	3,592	4,965	3,974	4,173	4,192	4,981
Inventories	13,626	16,033	14,195	14,530	12,017	13,706	14,570	12,276	15,302	14,991	14,550	12,987	18,242	21,294
Prepaid expenses and other	2,845	3,389	3,951	4,405	4,868	4,905	5,943	6,027	6,027	6,027	6,027	6,027	6,027	6,027
Total Current Assets	**49,616**	**50,535**	**52,977**	**56,379**	**58,360**	**59,389**	**61,133**	**64,653**	**64,600**	**64,067**	**59,737**	**56,811**	**60,091**	**69,433**
Operating lease vehicles	5,989	5,736	5,541	5,380	5,581	5,477	5,230	5,019	5,019	5,019	5,019	5,019	5,019	5,019
Solar energy systems	5,229	5,162	5,102	5,040	4,924	4,855	4,788	4,673	4,673	4,673	4,673	4,673	4,673	4,673
Property and equipment	29,725	31,436	32,902	36,116	35,836	37,088	38,574	39,407	40,157	42,513	45,601	48,712	52,095	54,743
Operating lease right-of-use assets	4,180	4,367	4,563	4,867	5,160	5,330	5,633	5,783	5,783	5,783	5,783	5,783	5,783	5,783
Digital Assets	184	184	184	184	1,076	951	1,235	1,315	1,315	1,315	1,315	1,315	1,315	1,315
Intangible assets	178	171	164	162	150	144	144	144	144	144	144	144	144	144
Goodwill	253	250	249	249	*244*	248	252	244	244	244	244	244	244	244
Restricted cash	248	296	345	380	*404*	483	483	483	483	483	483	483	483	483
Other non-current assets	11,016	11,089	10,805	11,095	10,335	11,146	11,095	12,014	12,014	12,014	12,014	12,014	12,014	12,014
Total Assets	**106,618**	**109,226**	**112,832**	**119,852**	**122,070**	**125,111**	**128,567**	**133,735**	**134,432**	**136,255**	**135,013**	**135,198**	**141,862**	**153,851**
Liabilities & Shareholders' Equity														
Current Liabilities														
Accounts payable	14,431	14,725	13,056	14,654	12,474	13,471	13,212	12,819	14,841	15,701	13,597	12,403	17,694	20,654
Accrued liabilities and other	9,080	9,243	9,616	10,601	10,723	10,802	11,519	12,791	12,791	12,791	12,791	12,791	12,791	12,791
Deferred revenue	2,864	3,024	2,793	3,031	3,168	3,243	3,237	3,756	3,756	3,756	3,756	3,756	3,756	3,756
Customer deposits	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Current portion of long-term debt and finance	2,373	2,461	2,264	2,291	2,456	2,237	2,040	1,924	1,924	1,924	1,924	1,924	1,924	1,924
Total Current Liabilities	**28,748**	**29,453**	**27,729**	**30,577**	**28,821**	**29,753**	**30,008**	**31,290**	**33,312**	**34,172**	**32,068**	**30,874**	**36,165**	**39,125**
Deferred revenue, net of current portion	3,251	3,214	3,357	3,350	3,317	3,610	3,764	3,746	3,746	3,746	3,746	3,746	3,746	3,746
Long-term debt and capital leases	2,857	2,899	5,481	5,405	5,757	5,292	5,180	5,778	5,778	5,778	5,778	5,778	5,778	5,778
Other long-term liabilities	8,153	8,480	9,002	9,810	10,495	11,038	11,543	12,205	12,205	12,205	12,205	12,205	12,205	12,205
Total Liabilities	**43,009**	**44,046**	**45,569**	**49,142**	**48,390**	**49,693**	**50,495**	**53,019**	**55,041**	**55,901**	**53,797**	**52,603**	**57,894**	**60,854**
Redeemable NCI in subsidiaries	242	73	72	70	63	62	61	59	59	59	59	59	59	59
Convertible debt	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total Stockholders' Equity	**62,634**	**64,378**	**66,468**	**69,931**	**72,913**	**74,653**	**77,314**	**79,970**	**81,780**	**82,744**	**83,605**	**84,985**	**86,358**	**95,387**
Noncontrolling interests in subsidiaries	733	729	723	709	704	703	697	687	687	687	687	687	687	687
Total Liabilities and Stockholders' Equity	**106,618**	**109,226**	**112,832**	**119,852**	**122,070**	**125,111**	**128,567**	**133,735**	**137,567**	**139,391**	**138,148**	**138,334**	**144,997**	**156,987**
Ratios :														
DSO	11	16	13	13	14	19	15	14	13	19	15	14	13	13
Inventory Turns	1.5	1.2	1.4	1.4	1.6	1.3	1.3	1.7	1.3	1	1.3	1.7	1.3	1.3
Inventory Q/Q	-0.7%	18%	-11.5%	2.4%	-17.3%	14%	6.3%	-15.7%	24.6%	-2%	-2.9%	-10.7%	40.5%	36.0%
AP Days Outstanding	62.7	75.3	56.2	65.3	52.1	74.9	63.9	50.1	67.1	74.9	63.9	50.1	67.1	67.1
Current Ratio	1.7	1.7	1.9	1.8	2.0	2.0	2.0	2.1	1.9	1.9	1.9	1.8	1.7	1.8
Return on Equity	12.7%	2.2%	2.1%	3.1%	2.9%	0.6%	1.5%	1.7%	1.0%	1.4%	1.2%	1.7%	1.7%	2.7%
Return on Sales	8.2%	5.5%	6.3%	10.8%	6.2%	2.1%	4.1%	5.8%	5.7%	7.2%	6.6%	7.8%	7.2%	10.3%
Return on Assets	7.4%	1.3%	1.3%	1.8%	1.8%	0.3%	0.9%	1.0%	0.6%	0.8%	0.8%	1.1%	1.0%	1.7%
Cash Per Share	$4.70	$3.39	$4.20	$5.18	$4.59	$4.53	$4.64	$5.44	$4.88	$4.43	$3.60	$3.16	$2.60	$4.16
BV/Share	$17.94	$18.48	$19.09	$20.00	$20.73	$21.20	$21.97	$22.68	$23.19	$23.47	$23.71	$24.10	$24.49	$27.05

Source: company reports, MSUSA

Exhibit 7 - TSLA Cash Flow

All Figures in $M Cash Flow Summary	FY 2023	1Q24 Mar	2Q24 Jun	3Q24 Sep	4Q24 Dec	FY 2024	1Q25 Mar	2Q25 Jun	3Q25 Sep	4Q25 Dec	FY 2025	1Q26E Mar	2Q26E Jun	3Q26E Sep	4Q26E Dec	FY 2026E	FY 2027E
Free Cash Flow																	
Operating Cash Flow	13,256	503	3,534	6,261	4,625	14,923	2,156	2,540	6,238	3,813	14,747	2,406	2,101	3,938	3,507	11,951	17,501
Capex	(8,898)	(2,773)	(2,270)	(3,513)	(2,783)	(11,339)	(1,492)	(2,394)	(2,248)	(2,393)	(8,527)	(4,000)	(5,000)	(5,500)	(5,500)	(20,000)	(12,000)
Free Cash Flow	**4,358**	**(2,270)**	**1,264**	**2,748**	**1,842**	**3,584**	**664**	**146**	**3,990**	**1,420**	**6,220**	**(1,594)**	**(2,899)**	**(1,562)**	**(1,993)**	**(8,049)**	**5,501**
FCF Per Share	$1.3	($0.7)	$0.4	$0.8	$0.5	$1.0	$0.2	$0.0	$1.1	$0.4	$1.8	($0.5)	($0.8)	($0.4)	($0.6)	($2.3)	$1.6

Source: company reports, MSUSA

Companies Mentioned (prices as of 1/27/2026)
BYD Company Limited (1211 HK)
Lightning eMotors, Inc. (ZEV)
NVIDIA Corporation (NVDA- Outperform $191.52)
Rivian Automotive, Inc. (RIVN- Underperform $15.20)
General Motors Company (GM- Outperform $84.90)
Lucid Group, Inc. (LCID)
Nikola Corporation (NKLA)
Volkswagen AG (VOW3 DE)

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